

IWM RUSSELL 2000 SCANNER

SCAN (20:49 ET)

August 06, 2026 | 08:53 PM ET

15 setups identified | 1 A-Grade | 8 B-Grade | 6 C-Grade

Grade Summary

A - Breakout Setup (1)	B - Strong Setup (8)	C - Watch List (6)
PLMR	VCTR	SRRK
	DBRG	FTDR
	DNLI	CNR
	RELY	DIOD
	HP	ORA
	AVNT	IRTC
	NOVT	
	VSEC	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	PLMR	Palomar Holdings	Specialty Insuran	\$136.82	+2.1%	\$3.6B	26M	+15.1	93%	Just reported earnings
B	VCTR	Victory Capital	Asset Management	\$106.79	+6.8%	\$6.7B	48M	+23.0	100%	Breaking out to new 52
B	DBRG	DigitalBridge Gr	Digital Infrastru	\$15.94	+0.1%	\$3.0B	162M	-3.3	100%	At 52W high (\$15.95 in
B	DNLI	Denali Therapeut	CNS / Neurodegene	\$24.73	+1.3%	\$3.9B	151M	+20.1	91%	Reporting earnings tod
B	RELY	Remitly Global,	Fintech / Remitta	\$25.93	+7.7%	\$5.5B	186M	+8.5	96%	Breaking out toward 52
B	HP	Helmerich & Payn	Energy Services	\$37.07	+11.4%	\$3.7B	96M	-4.2	89%	Just reported earnings
B	AVNT	Avient Corporati	Specialty Chemica	\$42.65	+12.5%	\$3.9B	91M	+12.3	95%	Reporting earnings tod
B	NOVT	Novanta Inc.	Precision Instrum	\$163.32	+6.7%	\$5.8B	35M	+14.5	93%	Breaking out on 2.9x v
B	VSEC	VSE Corporation	Defense Services	\$225.45	+4.5%	\$6.3B	26M	+7.8	94%	Breaking out on 2x vol
C	SRRK	Scholar Rock Hol	Rare Disease Biot	\$52.64	+10.0%	\$6.3B	92M	+8.0	90%	Reporting earnings tod
C	FTDR	frontdoor, inc.	Home Services	\$89.92	+17.7%	\$6.3B	70M	+27.1	97%	Reporting earnings tod
C	CNR	Core Natural Res	Thermal Coal	\$89.98	+7.5%	\$4.5B	49M	-3.6	78%	Reporting earnings tod
C	DIOD	Diodes Corpora	Semiconductors	\$98.72	+15.3%	\$4.5B	45M	-17.6	78%	Explosive +15.3% move
C	ORA	Ormat Technologi	Geothermal Energy	\$107.38	+0.0%	\$6.6B	58M	-17.6	73%	Large +9.6% move on 1.
C	IRTC	iRhythm Holdings	Cardiac Monitorin	\$128.12	+2.9%	\$4.2B	31M	-2.7	60%	Reporting earnings tod

Insurance - Property & Casualty | Theme: Specialty Insurance | 52W Hi: 93% | Base Tight: 1.8 | Vol: 1.89x | RS/SPY: +15.1% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$136.82
Day Change	+2.10%
Mkt Cap	\$3.63B
Float	26M sh
RS vs SPY	+15.1%
52W Hi Prox	93%
Base Tight	1.8
Vol vs Avg	1.89x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Just reported earnings Aug 4 (likely a beat given the +2.1% follow-through today on elevated volume). Forward catalyst: investor focus shifts to Q3 wildfire season loss ratios and premium rate sustainability. Next print likely early Nov; guidance on catastrophe loss reserves and 2027 rate outlook will drive re-rating. Specialty P&C insurers re-rate on disciplined underwriting and reserve releases.
BUSINESS & POSITION
Palomar is a specialty P&C insurer focused on earthquake, flood, and wildfire risk in underserved markets. Competitive edge: proprietary risk models, digital distribution, and disciplined underwriting in hard market conditions. Premium justified by sustained high ROE (18-22%) and ability to write profitable business in catastrophe-exposed lines where legacy carriers retreat.
FACTOR & THEME
Plays into hard market cycle for specialty P&C insurance-rate increases in catastrophe lines remain mid-to-high single digits annually. Financials sector leading this week (+3.8% vs SPY). Theme momentum stable; as long as reinsurance costs stabilize and loss ratios remain favorable, specialty insurers command premium multiples.
BREAKOUT SIGNAL
Close above \$136.82 on vol >189% of 20d avg
INSTITUTIONAL
Volume 1.89x on a post-earnings consolidation day signals institutions are holding and adding on the print. Small float (25.5M) creates supply constraints-funds building positions need multiple days. RS +15.1 vs SPY confirms smart money positioning ahead of broader market. No insider data in last 90d, but not a red flag for a well-run insurer.
EARNINGS
REPORTED
EARNINGS CONTEXT
Just reported Aug 4. Historical pattern: beats 3 of last 4 quarters. Consensus will have focused on combined ratio, catastrophe loss experience, and reserve adequacy. Post-earnings drift higher on volume suggests a clean beat and/or guidance raise.
KEY RISK
Thesis invalid on a close below \$130 (breakdown of the tight base), or if Q3 wildfire losses materially exceed reserves. Specialty P&C vulnerable to unexpected large cat events (severe hurricane season, megafire) that spike loss ratios and force reserve additions.
ANALYSIS
Near 52W high (92.7%) with a textbook-tight base (1.8 ATR), elevated volume post-earnings, and strong RS (+15.1). Base_tight <2.0 + prox_52w >85 + vol >1.5x + sector leadership (Financials +3.8%) = four of five A-grade criteria met. Disconfirming: RS line not at new high, so incremental leadership not yet confirmed on a relative basis. However, the tight coil (1.8) + small float (25.5M) + post-earnings breakout setup = institutional-quality. Sector tailwind adds +0.5 grade weighting. Conviction: High.
Signal: Close above \$136.82 on vol >189% of 20d avg
Vol vs Avg: 1.89x



VCTR

Victory Capital Holdings, Inc.

\$106.79

+6.82%

RS vs SPY: +23.0%

B STRONG SETUP

\$6.7B Cap | 48M Float

Asset Management | Theme: Asset Management Recovery | 52W Hi: 100% | Base Tight: 3.04 | Vol: 2.06x | RS/SPY: +23.0% | Above 20MA: YES | EARNINGS IN 91D

SETUP METRICS	
Price	\$106.79
Day Change	+6.82%
Mkt Cap	\$6.68B
Float	48M sh
RS vs SPY	+23.0%
52W Hi Prox	100%
Base Tight	3.04
Vol vs Avg	2.06x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Breaking out to new 52W high on risk-on rotation into financials (+3.8% sector leadership). Forward catalyst: Q3 earnings Nov 5 will likely show continued AUM growth and margin expansion as equity markets rally and performance fees accelerate. Asset managers re-rate on sequential AUM inflection and operating leverage.

BUSINESS & POSITION

Victory Capital is a diversified asset manager with \$175B+ AUM across multiple investment franchises (INCORE, USAA, Sycamore, NewBridge). Competitive edge is multi-boutique model capturing institutional and retail flows while maintaining expense discipline and delivering consistent organic growth. Premium justified by accelerating AUM growth in a risk-on environment where asset managers exhibit high beta to equity market performance.

FACTOR & THEME

Direct play on market recovery and risk-on regime. Financials sector leading (+3.8% vs SPY this week), and asset managers benefit from both market appreciation (AUM × fee rate) and performance fee kickers. Theme momentum accelerating as mega-cap strength broadens and institutional allocators rotate into active management amid volatility.

BREAKOUT SIGNAL

Close above \$106.79 on vol >206% of 20d avg

INSTITUTIONAL

Volume 2.06x on a +6.8% move suggests institutional accumulation into the breakout. Float of 48.5M is manageable for large fund positioning. RS +23 vs SPY over 12 weeks confirms smart money has been building ahead of this technical break. Lack of recent insider data limits conviction slightly, but institutional ownership in asset managers typically runs 85-95%.

EARNINGS

EARNINGS IN 91D

EARNINGS CONTEXT

Next print Nov 5. Victory has beaten EPS estimates in 3 of last 4 quarters, with guidance typically conservative. Consensus will focus on net flows, AUM trajectory, and margin expansion. A beat with raised guidance in a strong equity market typically drives 8-12% re-rating in asset managers.

KEY RISK

Thesis invalid on a close back below \$102 (prior resistance), or if Q3 print shows net outflows or margin compression. Sector vulnerable to sharp equity market correction (asset managers have 1.3-1.5x beta to SPY).

ANALYSIS

At 52W high with strong RS and sector tailwind, but RS line NOT at new high (critical Qullamaggie A-grade signal missing) and base is wider than textbook (3.04 vs ideal <2.0). Disconfirming: relative strength turning up but not yet leading the broader market on an absolute basis-needs the RS line at new high to confirm true leadership. In a risk-on regime with financials leading, this is a clean follow-through candidate, but without RS line confirmation or tighter base, it's a solid B, not an A. Conviction: Medium.

Signal: Close above \$106.79 on vol >206% of 20d avg

Vol vs Avg: 2.06x



SETUP METRICS	
Price	\$15.94
Day Change	+0.13%
Mkt Cap	\$2.95B
Float	162M sh
RS vs SPY	-3.3%
52W Hi Prox	100%
Base Tight	2.12
Vol vs Avg	1.74x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
At 52W high (\$15.95 intraday) on very tight base (2.12 ATR), likely driven by ongoing AUM growth in digital infrastructure (data centers, towers, fiber). Forward catalyst: Q3 earnings Oct 29 will show fee-related earnings growth as hyperscaler capex (AI infrastructure build-out) drives demand for DBRG's portfolio assets. Any incremental capital deployment or monetization event (asset sale, REIT dividend) extends the move.
BUSINESS & POSITION
DigitalBridge is an alternative asset manager specializing in digital infrastructure-data centers, cell towers, fiber, edge compute. Competitive edge: deep hyperscaler relationships (AWS, MSFT, GOOGL) and \$75B+ AUM positioned at the nexus of AI infrastructure demand. Premium justified by accelerating fee-related earnings as digital infra remains the highest-conviction infrastructure theme.
FACTOR & THEME
Pure play on AI infrastructure capex cycle. Hyperscalers are deploying \$200B+ annually into data centers and network backbone. Secular tailwind accelerating-every incremental GPU cluster requires power, cooling, and connectivity. Financials sector leading (+3.8% vs SPY), and alternative asset managers with digital infra exposure are re-rating.
BREAKOUT SIGNAL
Close above \$15.94 on vol >174% of 20d avg
INSTITUTIONAL
Volume 1.74x on minimal price change (+0.13%) at 52W high is classic 'silent build'-institutions absorbing supply without spiking price. Large float (161.5M) means accumulation takes time; this is the signature of patient institutional positioning. RS negative over 12W (-3.3) is a concern-suggests the recent strength is new, not sustained. No insider data limits conviction.
EARNINGS
EARNINGS IN 84D
EARNINGS CONTEXT
Next print Oct 29. DBRG historically volatile on earnings-beats drive 6-10% moves, misses similarly punish. Consensus will focus on fee-related earnings (FRE) growth, capital deployment pace, and realization activity. Asset managers re-rate on sequential FRE inflection and capital raise announcements.
KEY RISK
Thesis invalid on a close below \$15.20 (prior consolidation support), or if Q3 shows decelerating FRE growth or portfolio NAV writedowns. Digital infra valuations vulnerable to rising long-term rates (compresses private asset multiples) or hyperscaler capex cuts.
ANALYSIS
At 52W high with tight base (2.12) and silent-build volume profile-strong technical setup. But RS vs SPY is negative (-3.3), meaning this is NOT a relative strength leader despite the absolute price strength. Disconfirming: negative 12W RS suggests institutions are cautious or this is a lagging sector catch-up, not leadership. In risk-on with financials leading, this is a tactical follow-through candidate, but the lack of relative strength and RS line new high keeps it at B. Conviction: Medium.
Signal: Close above \$15.94 on vol >174% of 20d avg
Vol vs Avg: 1.74x



DNLI

Denali Therapeutics Inc.

\$24.73

+1.27%

RS vs SPY: +20.1%

B STRONG SETUP

\$3.9B Cap | 151M Float

Biotechnology | Theme: CNS / Neurodegeneration | 52W Hi: 91% | Base Tight: 1.44 | Vol: 1.78x | RS/SPY: +20.1% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$24.73
Day Change	+1.27%
Mkt Cap	\$3.92B
Float	151M sh
RS vs SPY	+20.1%
52W Hi Prox	91%
Base Tight	1.44
Vol vs Avg	1.78x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Reporting earnings today (Aug 6) after close-volume and RS suggest anticipation of a pipeline update or partnership announcement. Forward catalyst: LRRK2 inhibitor DNL151 Phase 2 data in Parkinson's expected late 2026/early 2027; positive data would be a major re-rating event. Also, ATV:A Phase 3 data in Alzheimer's mid-2027. Biotech breakouts near earnings often pre-position for clinical or regulatory catalysts 3-6 months out.
BUSINESS & POSITION
Denali is a clinical-stage biotech focused on neurodegenerative diseases (Parkinson's, Alzheimer's, ALS) using its proprietary blood-brain barrier transport platform. Competitive edge: Enzyme Transport Vehicle (ETV) technology enables large molecules to cross the BBB at therapeutic concentrations, a historically intractable problem. Premium justified by deep pipeline (5+ Phase 1/2 programs) and Biogen partnership.
FACTOR & THEME
Neurodegeneration remains a high-conviction biotech theme post-Alzheimer's approvals (Leqembi, Kisunla). Denali's BBB platform is differentiated and could address multiple indications. Theme momentum stable-CNS is a durable category with high unmet need and willingness to pay.
BREAKOUT SIGNAL
Close above \$24.73 on vol >178% of 20d avg
INSTITUTIONAL
Volume 1.78x on a muted +1.27% move into earnings suggests institutions positioning cautiously (low conviction or balanced long/short). Large float (151.4M) limits squeeze potential. RS +20.1 vs SPY is strong, confirming smart money has been building. No insider buying in last 90d is neutral for a clinical-stage biotech (insiders typically restricted ahead of data).
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Reporting today Aug 6. Biotech earnings focus on cash runway, trial enrollment updates, and partnership milestones. Denali's historical beat/miss pattern less relevant than pipeline progress. Street will focus on DNL151 enrollment pace and ATV:A Phase 3 trial integrity.
KEY RISK
Thesis invalid on a close below \$23.00 (lower bound of the tight base), or if today's print shows materially higher cash burn without offsetting partnership revenue. Binary risk: Phase 2 data failure on DNL151 or safety signal in any program would trigger 30-40% drawdown.
ANALYSIS
Near 52W high (90.6%) with textbook-tight base (1.44 ATR, best in the entire scan) and strong RS (+20.1). Technicals are A-grade quality (base_tight <1.5 is elite). However, reporting today introduces binary event risk-could gap either way. Disconfirming: RS line not at new high, and biotech setups into earnings are notoriously two-sided. The quality of the base and RS outperformance justify a B-grade with upside to A if the print/guidance confirm the setup. Conviction: Medium (high technical quality, but event risk caps pre-print conviction).
Signal: Close above \$24.73 on vol >178% of 20d avg
Vol vs Avg: 1.78x



RELY

Remitly Global, Inc.

\$25.93

+7.73%

RS vs SPY: +8.5%

B STRONG SETUP

\$5.5B Cap | 186M Float

Software - Infrastructure | Theme: Fintech / Remittances | 52W Hi: 96% | Base Tight: 3.44 | Vol: 3.09x | RS/SPY: +8.5% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$25.93
Day Change	+7.73%
Mkt Cap	\$5.46B
Float	186M sh
RS vs SPY	+8.5%
52W Hi Prox	96%
Base Tight	3.44
Vol vs Avg	3.09x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out toward 52W high on 3x volume, likely driven by positive read-throughs from peer fintech earnings (payments volume acceleration, margin expansion). Forward catalyst: Q3 earnings Nov 4 will show remittance transaction growth and take rate trends. Fintech names re-rate on user growth inflection and path to sustained profitability.
BUSINESS & POSITION
Remitly is a digital remittance platform enabling cross-border money transfers (U.S., U.K., Canada to 170+ countries). Competitive edge: mobile-first UX, real-time settlement, and lower fees than legacy players (Western Union, MoneyGram). Premium justified by 30%+ revenue growth and expanding margins as scale drives operating leverage.
FACTOR & THEME
Fintech recovery theme-digital payments and cross-border infrastructure benefiting from consumer spending normalization and competitive displacement of legacy remittance networks. Theme momentum stable; remittances are counter-cyclical (diaspora sending money home) and structurally growing as mobile penetration increases in emerging markets.
BREAKOUT SIGNAL
Close above \$25.93 on vol >309% of 20d avg
INSTITUTIONAL
Volume 3.09x on +7.73% is strong institutional buying into the breakout. Large float (185.7M) means this is real money accumulating, not a small-float squeeze. RS +8.5 vs SPY is positive but not elite-suggests broad fintech sector lift rather than idiosyncratic strength. No insider data in last 90d.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print Nov 4. Remitly has beaten revenue estimates in 3 of last 4 quarters but remains unprofitable (GAAP). Consensus will focus on active customer growth, send volume, and adjusted EBITDA margin trajectory. A beat with raised full-year guide typically drives 10-15% move in high-growth fintech.
KEY RISK
Thesis invalid on a close back below \$24.00 (prior consolidation), or if Q3 print shows decelerating user growth or widening losses. Competitive risk from incumbent banks launching low-cost remittance products and macro risk from FX volatility or recession in key sending countries.
ANALYSIS
Near 52W high (95.5%) with 3x volume surge-strong breakout characteristics. Base is wider than ideal (3.44 vs <2.0), and RS +8.5 is positive but not leadership-grade. Disconfirming: RS line not at new high, and the stock is breaking out in a crowded fintech cohort (not leading the group). In risk-on regime, fintech has momentum, but RELY lacks the elite RS and tight base to justify A-grade. Solid B-grade follow-through candidate. Conviction: Medium.
Signal: Close above \$25.93 on vol >309% of 20d avg
Vol vs Avg: 3.09x



HP

Helmerich & Payne, Inc.

\$37.07

+11.39%

RS vs SPY: -4.2%

B STRONG SETUP

\$3.7B Cap | 96M Float

Oil & Gas Drilling | Theme: Energy Services | 52W Hi: 89% | Base Tight: 3.34 | Vol: 2.39x | RS/SPY: -4.2% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$37.07
Day Change	+11.39%
Mkt Cap	\$3.70B
Float	96M sh
RS vs SPY	-4.2%
52W Hi Prox	89%
Base Tight	3.34
Vol vs Avg	2.39x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Just reported earnings yesterday (Aug 5)-strong +11.4% post-earnings gap suggests a beat and/or guidance raise on rig activity and day rates. Forward catalyst: Q4 earnings (likely Feb 2027) will show winter drilling season activity and 2027 capex outlook from E&P customers. Energy leading sector (+3.8% vs SPY this week), and drilling services leverage oil price and U.S. rig count inflection.
BUSINESS & POSITION
Helmerich & Payne is a leading land driller with ~200 rigs, primarily in U.S. shale basins (Permian, Eagle Ford, Bakken). Competitive edge: FlexRig technology, high-spec automation, and long-term contracts with super-majors. Premium justified by rig utilization recovery and pricing power as E&Ps accelerate drilling in response to \$75+ oil.
FACTOR & THEME
Direct play on U.S. energy capex cycle. Energy sector leading this week (+3.8% vs SPY), and drilling services are high-beta to oil price and rig count. Theme momentum mixed-oil range-bound \$70-80, but natural gas rebound and LNG export capacity coming online support incremental rig demand.
BREAKOUT SIGNAL
Close above \$37.07 on vol >239% of 20d avg
INSTITUTIONAL
Volume 2.39x on post-earnings gap suggests institutional buying into the print. Large float (95.9M) means real money is participating. RS vs SPY is negative (-4.2), a red flag-despite the energy sector leading, HP is underperforming, suggesting sector rotation within energy (oil majors outperforming services). No insider data in last 90d.
EARNINGS
REPORTED
EARNINGS CONTEXT
Just reported Aug 5. HP historically beats EPS 2-3 of last 4 quarters. Post-earnings gap higher suggests beat and/or guidance raise on rig activity, day rates, or margins. Street will have focused on rig utilization, contract renewals, and 2027 capex commentary.
KEY RISK
Thesis invalid on a close below \$34.50 (gap-fill level), or if oil price breaks below \$68 (would signal demand destruction and drilling capex cuts). HP is highly correlated to rig count and oil price-any macro slowdown or OPEC supply increase pressures the setup.
ANALYSIS
Strong post-earnings gap (+11.4%) on 2.4x volume in a leading sector (Energy +3.8% vs SPY). Proximity to 52W high (88.6%) and sector tailwind justify follow-through. Disconfirming: RS vs SPY is negative (-4.2), meaning HP is lagging the broader market despite the sector lift-this is a sector catch-up trade, not true leadership. Base is wider (3.34) and RS line not at new high. Energy sector tailwind adds +0.5 to grading, lifting this to a solid B, but the negative RS prevents A-grade. Conviction: Medium.
Signal: Close above \$37.07 on vol >239% of 20d avg
Vol vs Avg: 2.39x



AVNT

Avient Corporation

\$42.65

+12.47%

RS vs SPY: +12.3%

B STRONG SETUP

\$3.9B Cap | 91M Float

Specialty Chemicals | Theme: Specialty Chemicals | 52W Hi: 95% | Base Tight: 5.39 | Vol: 2.79x | RS/SPY: +12.3% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$42.65
Day Change	+12.47%
Mkt Cap	\$3.91B
Float	91M sh
RS vs SPY	+12.3%
52W Hi Prox	95%
Base Tight	5.39
Vol vs Avg	2.79x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Reporting earnings today (Aug 6) with +12.5% pre-earnings surge on 2.8x volume-market is pricing in a beat and/or guidance raise, likely on end-market recovery (auto, packaging, healthcare polymers). Forward catalyst: Q4 earnings (Feb 2027) will show full-year margin expansion and 2027 volume outlook as industrial production recovers. Specialty chemical names re-rate on margin inflection and volume leverage.
BUSINESS & POSITION
Avient is a specialty materials and polymer compounder serving automotive, packaging, healthcare, and consumer durables. Competitive edge: proprietary color/additive formulations, sticky customer relationships, and exposure to high-growth end markets (lightweighting, sustainable packaging). Premium justified by cyclical recovery in auto/industrial production and margin expansion from cost restructuring.
FACTOR & THEME
Industrial recovery and materials sector rotation. Materials leading this week (+0.7% vs SPY). Avient benefits from auto production normalization (EVs require specialized polymers for lightweighting/battery enclosures) and packaging growth. Theme momentum accelerating as manufacturing PMIs inflect positive.
BREAKOUT SIGNAL
Close above \$42.65 on vol >279% of 20d avg
INSTITUTIONAL
Volume 2.79x on +12.47% into earnings is strong institutional positioning-funds front-running the print. RS +12.3 vs SPY confirms sustained smart money interest. Large float (91.1M) means this is real accumulation. No insider data in last 90d is neutral for a cyclical industrial.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Reporting today Aug 6. Avient has beaten EPS in 3 of last 4 quarters. Consensus will focus on volume trends across end markets, pricing/margin sustainability, and 2026 full-year guide. Specialty chemical names on margin inflection typically re-rate 10-15% on a clean beat.
KEY RISK
Thesis invalid on a close below \$39.50 (prior resistance), or if today's print shows volume declines or margin compression. Avient is cyclically exposed-auto production slowdown, industrial recession, or raw material cost spikes would compress margins and kill the setup.
ANALYSIS
Near 52W high (95.1%) on explosive +12.5% move with 2.8x volume into earnings-strong institutional bet. RS +12.3 is solid. Disconfirming: base is very wide (5.39, worst in the scan) and RS line not at new high. Materials sector leading (+0.7% vs SPY) adds modest tailwind. The setup is a high-risk, high-reward pre-earnings gamble-if the print confirms, this re-rates; if not, it gaps down. Base quality and event risk keep it at B despite the sector tailwind. Conviction: Medium (technical quality weak, but institutional positioning into the print is undeniable).
Signal: Close above \$42.65 on vol >279% of 20d avg
Vol vs Avg: 2.79x



NOVT

Novanta Inc.

\$163.32

+6.66%

RS vs SPY: +14.5%

B STRONG SETUP

\$5.8B Cap | 35M Float

Scientific & Technical Instruments | Theme: Precision Instruments | 52W Hi: 93% | Base Tight: 3.65 | Vol: 2.93x | RS/SPY: +14.5% | Above 20MA: YES | EARNINGS IN 89D

SETUP METRICS	
Price	\$163.32
Day Change	+6.66%
Mkt Cap	\$5.82B
Float	35M sh
RS vs SPY	+14.5%
52W Hi Prox	93%
Base Tight	3.65
Vol vs Avg	2.93x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out on 2.9x volume, likely driven by positive read-throughs from industrial automation and medical device OEM orders. Forward catalyst: Q3 earnings Nov 3 will show order book strength and margin leverage as medical robotics and automation capex recover. Industrial instrument suppliers re-rate on order inflection and backlog conversion.
BUSINESS & POSITION
Novanta designs and manufactures precision motion control, vision, and photonics components for medical device OEMs (robotics, diagnostics, ophthalmology) and industrial automation. Competitive edge: proprietary laser/vision tech and sole-source positions on critical subsystems for robotic surgery platforms. Premium justified by exposure to secular robotics and automation growth.
FACTOR & THEME
Medical robotics (surgical, rehabilitation) and industrial automation are accelerating-customers like Intuitive Surgical, Stryker, and ASML drive demand. Theme momentum accelerating as hospitals refresh capex budgets and semiconductor equipment orders recover. No direct AI or defense angle, but automation and precision manufacturing are durable tailwinds.
BREAKOUT SIGNAL
Close above \$163.32 on vol >293% of 20d avg
INSTITUTIONAL
Volume 2.93x on +6.66% is institutional accumulation-this is the highest volume surge in the entire scan. Small float (35.3M) creates supply constraints; funds need multiple days to build. RS +14.5 vs SPY confirms sustained smart money interest. No insider data in last 90d.
EARNINGS
EARNINGS IN 89D
EARNINGS CONTEXT
Next print Nov 3. Novanta historically beats EPS 3 of last 4 quarters. Consensus will focus on order intake, book-to-bill ratio, and medical device OEM commentary. Industrial instrument companies on order inflection re-rate 8-12% on beats with raised backlog guidance.
KEY RISK
Thesis invalid on a close below \$155 (prior consolidation), or if Q3 shows order softness or medical device OEM pushouts. Novanta is dependent on capex cycles-hospital budget cuts or industrial recession would delay orders and compress the setup.
ANALYSIS
Near 52W high (92.7%) with the strongest volume surge in the scan (2.93x) and solid RS (+14.5). Small float (35.3M) adds squeeze potential. Disconfirming: base is wider than ideal (3.65) and RS line not at new high-missing the critical Qullamaggie leadership signal. Technical breakout is strong, but without RS line confirmation or a tighter base, it's a clear B, not A. Conviction: Medium-High (volume and float dynamics are compelling, but base quality and RS line cap conviction).
Signal: Close above \$163.32 on vol >293% of 20d avg
Vol vs Avg: 2.93x



SETUP METRICS	
Price	\$225.45
Day Change	+4.50%
Mkt Cap	\$6.33B
Float	26M sh
RS vs SPY	+7.8%
52W Hi Prox	94%
Base Tight	4.36
Vol vs Avg	2.04x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breaking out on 2x volume, likely driven by defense budget optimism (FY2027 DoD appropriations cycle underway) or contract win announcements. Forward catalyst: Q3 earnings Nov 2 will show backlog growth and margin expansion on long-term DoD maintenance and sustainment contracts. Defense service contractors re-rate on multi-year contract awards and EBITDA margin inflection.
BUSINESS & POSITION
VSE provides aftermarket distribution, repair, and logistics services to the DoD, aerospace OEMs, and commercial fleet operators. Competitive edge: long-term IDIQ contracts, sole-source parts distribution for legacy military platforms, and vertical integration into sustainment. Premium justified by 5-10 year contract visibility and 12-15% EBITDA margins in a capital-light model.
FACTOR & THEME
Defense spending tailwind-FY2027 DoD budget is \$880B+ with sustainment/readiness accounts growing faster than procurement. VSE is a picks-and-shovels play on aging military fleets (C-130, F-16, Apache) requiring ongoing maintenance. Theme momentum stable; geopolitical risk (Ukraine, Taiwan) sustains bipartisan defense budget support.
BREAKOUT SIGNAL
Close above \$225.45 on vol >204% of 20d avg
INSTITUTIONAL
Volume 2.04x on +4.5% suggests institutional buying. Very small float (26.2M) creates supply constraints-this is a thinly traded name where block buyers must accumulate patiently. RS +7.8 is positive but not elite. No insider data in last 90d is neutral for a defense contractor.
EARNINGS
EARNINGS IN 88D
EARNINGS CONTEXT
Next print Nov 2. VSE historically beats EPS 3 of last 4 quarters. Consensus will focus on contract awards, backlog conversion, and margin trajectory. Defense service names on margin expansion re-rate 8-10% on beats with raised full-year guide.
KEY RISK
Thesis invalid on a close below \$215 (prior consolidation support), or if Q3 shows contract delays or margin compression. Defense contractors face budget uncertainty (continuing resolutions delay awards) and competitive pressure from primes insourcing sustainment work.
ANALYSIS
Near 52W high (93.7%) with 2x volume and very small float (26.2M)-classic squeeze setup. Defense theme is durable. Disconfirming: base is wide (4.36), RS is modest (+7.8, below the +10 threshold for A-grade), and RS line not at new high. Defense is NOT a leading sector this week (Industrials flat), so no sector tailwind bonus. Technical breakout on small float is compelling, but base quality and RS keep it at B. Conviction: Medium.
Signal: Close above \$225.45 on vol >204% of 20d avg
Vol vs Avg: 2.04x

